



Directors' Report and Unaudited Financial Statements
for the financial year ended 31 January 2020

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[REDACTED]

DIRECTORS AND OTHER INFORMATION

Directors

[REDACTED]

Company Number

[REDACTED]

Registered Office

[REDACTED]

Business Address

[REDACTED]

Accountants

[REDACTED] Limited
Chartered Accountants

[REDACTED]

DIRECTORS' REPORT

for the financial year ended 31 January 2020

The directors present their report and the unaudited financial statements for the financial year ended 31 January 2020.

Principal Activity

The principal activity of the company is that of electronics manufacturing.

Results and Dividends

The profit for the financial year after providing for depreciation and taxation amounted to £53,265 (2019 - £1,927).

Directors

The directors who served during the financial year are as follows:

There were no changes in shareholdings between 31 January 2020 and the date of signing the financial statements.

Statement of Directors' Responsibilities

The directors are responsible for preparing the Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law) including FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" Section 1A (Small Entities). Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period.

In preparing these financial statements, the directors are required to:

- select suitable accounting policies and apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the company's transactions and disclose with reasonable accuracy at any time the financial position of the company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Special provisions relating to small companies

The above report has been prepared in accordance with the special provisions relating to small companies within Part 15 of the Companies Act 2006.

On behalf of the board

Director

6 May 2020

PROFIT AND LOSS ACCOUNT

for the financial year ended 31 January 2020

	Notes	2020 £	2019 £
Turnover		657,490	510,647
Cost of sales		(286,237)	(208,772)
Gross profit		371,253	301,875
Administrative expenses		(292,887)	(287,412)
Other operating income		33,189	33,243
Operating profit		111,555	47,706
Interest payable and similar expenses		(65,973)	(66,535)
Profit/(loss) before taxation		45,582	(18,829)
Tax on profit/(loss)		7,683	20,756
Profit for the financial year		53,265	1,927
Total comprehensive income		53,265	1,927

Company Number: [REDACTED]

BALANCE SHEET

as at 31 January 2020

	Notes	2020 £	2019 £
Fixed Assets			
Intangible assets	4	228,294	260,421
Tangible assets	5	46,083	29,827
		<u>274,377</u>	<u>290,248</u>
Current Assets			
Stocks	6	364,129	362,440
Debtors	7	171,738	118,521
Cash and cash equivalents		-	830
		<u>535,867</u>	<u>481,791</u>
Creditors: Amounts falling due within one year	8	<u>(282,594)</u>	<u>(252,303)</u>
Net Current Assets		<u>253,273</u>	<u>229,488</u>
Total Assets less Current Liabilities		527,650	519,736
Creditors			
Amounts falling due after more than one year	9	(272,725)	(297,325)
Provisions for liabilities	10	<u>(3,829)</u>	<u>(4,580)</u>
Net Assets		<u>251,096</u>	<u>217,831</u>
Capital and Reserves			
Called up share capital		21,000	21,000
Profit and Loss Account		<u>230,096</u>	<u>196,831</u>
Equity attributable to owners of the company		<u>251,096</u>	<u>217,831</u>

Company Number: [REDACTED]

BALANCE SHEET

as at 31 January 2020

The financial statements have been prepared in accordance with the provisions applicable to companies subject to the small companies' regime and in accordance with the provisions of FRS 102 Section 1A (Small Entities).

For the financial year ended 31 January 2020 the company was entitled to exemption from audit under section 477 of the Companies Act 2006.

The directors confirm that the members have not required the company to obtain an audit of its financial statements for the financial year in question in accordance with section 476 of the Companies Act 2006.

The directors acknowledge their responsibilities for ensuring that the company keeps accounting records which comply with section 386 and for preparing financial statements which give a true and fair view of the state of affairs of the company as at the end of the financial year and of its profit and loss for the financial year in accordance with the requirements of sections 394 and 395 and which otherwise comply with the requirements of the Companies Act 2006 relating to financial statements, so far as applicable to the company.

Approved by the Board and authorised for issue on 6 May 2020 and signed on its behalf by

[REDACTED]
Director

RECONCILIATION OF SHAREHOLDERS' FUNDS

as at 31 January 2020

	Share capital	Retained earnings	Total
	£	£	£
At 1 February 2018	21,000	194,904	215,904
Profit for the financial year	-	1,927	1,927
At 31 January 2019	21,000	196,831	217,831
Profit for the financial year	-	53,265	53,265
Payment of dividends	-	(20,000)	(20,000)
At 31 January 2020	21,000	230,096	251,096

NOTES TO THE FINANCIAL STATEMENTS

for the financial year ended 31 January 2020

1. GENERAL INFORMATION

is a company limited by shares incorporated in

2. SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The following accounting policies have been applied consistently in dealing with items which are considered material in relation to the company's financial statements.

Statement of compliance

The financial statements of the company for the year ended 31 January 2020 have been prepared in accordance with the provisions of FRS 102 Section 1A (Small Entities) and the Companies Act 2006.

Basis of preparation

The financial statements have been prepared on the going concern basis and in accordance with the historical cost convention except for certain properties and financial instruments that are measured at revalued amounts or fair values, as explained in the accounting policies below. Historical cost is generally based on the fair value of the consideration given in exchange for assets.

Turnover

Turnover comprises the invoice value of goods and services supplied by the company, exclusive of trade discounts and value added tax.

Tangible fixed assets and depreciation

Tangible fixed assets are stated at cost or at valuation, less accumulated depreciation. The charge to depreciation is calculated to write off the original cost or valuation of tangible fixed assets, less their estimated residual value, over their expected useful lives as follows:

Land and buildings freehold	-
Plant and machinery	- 20% Reducing Balance
Fixtures, fittings and equipment	- 20% Reducing Balance

The carrying values of tangible fixed assets are reviewed annually for impairment in periods if events or changes in circumstances indicate the carrying value may not be recoverable.

Stocks

Stocks are valued at the lower of cost and net realisable value. Stocks are determined on a first-in first-out basis. Cost comprises expenditure incurred in the normal course of business in bringing stocks to their present location and condition. Full provision is made for obsolete and slow moving items. Net realisable value comprises actual or estimated selling price (net of trade discounts) less all further costs to completion or to be incurred in marketing and selling.

Trade and other debtors

Trade and other debtors are initially recognised at fair value and thereafter stated at amortised cost using the effective interest method less impairment losses for bad and doubtful debts except where the effect of discounting would be immaterial. In such cases the receivables are stated at cost less impairment losses for bad and doubtful debts.

Provisions

Provisions are recognised when the company has a present legal or constructive obligation arising as a result of a past event, it is probable that an outflow of economic benefits will be required to settle the obligation and a reliable estimate can be made. Provisions are measured at the present value of the expenditures expected to be required to settle the obligation using a pre-tax rate that reflects current market assessments of the same value of money and the risks specific to the obligation. The increase in the provision due to passage of time is recognised as interest expense.

Trade and other creditors

Trade and other creditors are initially recognised at fair value and thereafter stated at amortised cost using the effective interest rate method, unless the effect of discounting would be immaterial, in which case they are stated at cost.

NOTES TO THE FINANCIAL STATEMENTS

continued

for the financial year ended 31 January 2020

Employee benefits

The company operates a defined contribution pension scheme. The assets of the scheme are held separately from those of the company in an independently administered fund. The company also operates a defined benefit pension scheme for its employees providing benefits based on final pensionable pay. The assets of this scheme are also held separately from those of the company, being invested with pension fund managers.

Taxation and deferred taxation

Current tax represents the amount expected to be paid or recovered in respect of taxable profits for the financial year and is calculated using the tax rates and laws that have been enacted or substantially enacted at the Balance Sheet date.

Deferred tax is recognised in respect of all timing differences that have originated but not reversed at the balance sheet date where transactions or events have occurred at that date that will result in an obligation to pay more tax in the future, or a right to pay less tax in the future. Timing differences are temporary differences between the company's taxable profits and its results as stated in the financial statements.

Deferred tax is measured on an undiscounted basis at the tax rates that are anticipated to apply in the periods in which the timing differences are expected to reverse, based on tax rates and laws that have been enacted or substantively enacted by the balance sheet date.

Government grants

Capital grants received and receivable are treated as deferred income and amortised to the Profit and Loss Account annually over the useful economic life of the asset to which it relates. Revenue grants are credited to the Profit and Loss Account when received. Accrued grant income has been recognised on the basis that grant criteria has been complied with and amounts recorded are not reclaimable by the grant issuer

Foreign currencies

Monetary assets and liabilities denominated in foreign currencies are translated at the rates of exchange ruling at the Balance Sheet date. Non-monetary items that are measured in terms of historical cost in a foreign currency are translated at the rates of exchange ruling at the date of the transaction. Non-monetary items that are measured at fair value in a foreign currency are translated using the exchange rates at the date when the fair value was determined. The resulting exchange differences are dealt with in the Profit and Loss Account.

Research and development

Development expenditure is written off in the same year unless the directors are satisfied as to the technical, commercial and financial viability of individual projects. In this situation, the expenditure is deferred and amortised over the period from which the company is expected to benefit.

Ordinary share capital

The ordinary share capital of the company is presented as equity.

3. EMPLOYEES

The average monthly number of employees, including directors, during the financial year was 6, (31 January 2019 - 5).

NOTES TO THE FINANCIAL STATEMENTS

for the financial year ended 31 January 2020

continued

4. INTANGIBLE FIXED ASSETS

	Development Costs £	Total £
Cost		
At 1 February 2019	827,913	827,913
Additions	66,183	66,183
At 31 January 2020	894,096	894,096
Amortisation		
At 1 February 2019	567,492	567,492
Charge for financial year	98,310	98,310
At 31 January 2020	665,802	665,802
Net book value		
At 31 January 2020	228,294	228,294
At 31 January 2019	260,421	260,421

5. TANGIBLE FIXED ASSETS

	Land and buildings freehold £	Plant and machinery £	Fixtures, fittings and equipment £	Total £
Cost or Valuation				
At 1 February 2019	5,153	294,367	18,629	318,149
Additions	-	15,353	10,665	26,018
At 31 January 2020	5,153	309,720	29,294	344,167
Depreciation				
At 1 February 2019	5,153	266,027	17,142	288,322
Charge for the financial year	-	8,072	1,690	9,762
At 31 January 2020	5,153	274,099	18,832	298,084
Net book value				
At 31 January 2020	-	35,621	10,462	46,083
At 31 January 2019	-	28,340	1,487	29,827

6. STOCKS

	2020 £	2019 £
Finished goods and goods for resale	364,129	362,440

The replacement cost of stock did not differ significantly from the figures shown.

NOTES TO THE FINANCIAL STATEMENTS

continued

for the financial year ended 31 January 2020

7. DEBTORS	2020 £	2019 £
Trade debtors	129,344	77,925
Other debtors	30,812	14,632
Taxation	11,582	21,964
Prepayments and accrued income	-	4,000
	<u>171,738</u>	<u>118,521</u>

8. CREDITORS Amounts falling due within one year	2020 £	2019 £
Bank overdrafts	49,141	19,636
Bank loan	67,294	53,471
Trade creditors	95,626	109,736
Taxation	13,698	14,802
Other creditors	46,373	44,196
Accruals	10,462	10,462
	<u>282,594</u>	<u>252,303</u>

HSBC Bank hold an all monies debenture, legal mortgage on all freehold and leasehold land. Funding Circle debt is secured by way of Director Personal Guarantees.

9. CREDITORS Amounts falling due after more than one year	2020 £	2019 £
Bank loan	111,415	156,084
Directors' loan accounts	161,310	141,241
	<u>272,725</u>	<u>297,325</u>

Loans

Repayable in one year or less, or on demand (Note 8)	116,435	73,107
Repayable between one and two years	40,464	40,070
Repayable between two and five years	70,951	116,014
	<u>227,850</u>	<u>229,191</u>

10. PROVISIONS FOR LIABILITIES

The amounts provided for deferred taxation are analysed below:

	Capital allowances	Total	Total
	£	2020 £	2019 £
At financial year start	4,580	4,580	4,652
Charged to profit and loss	(751)	(751)	-
Released during the financial year	-	-	(72)
At financial year end	<u>3,829</u>	<u>3,829</u>	<u>4,580</u>



NOTES TO THE FINANCIAL STATEMENTS

continued

for the financial year ended 31 January 2020

11. CAPITAL COMMITMENTS

The company had no material capital commitments at the financial year-ended 31 January 2020.

12. POST-BALANCE SHEET EVENTS

There have been no significant events affecting the company since the financial year-end.



SUPPLEMENTARY INFORMATION

RELATING TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 JANUARY 2020

SUPPLEMENTARY INFORMATION RELATING TO THE FINANCIAL STATEMENTS

TRADING STATEMENT

for the financial year ended 31 January 2020

	2020 £	2019 £
Sales	657,490	510,647
Cost of sales		
Opening stock	362,440	340,077
Purchases	233,561	195,297
Wages and salaries	54,365	35,838
	650,366	571,212
Closing stock	(364,129)	(362,440)
	286,237	208,772
Gross profit	371,253	301,875
Gross profit Percentage	56.5%	59.1%
Administrative expenses		
Wages and salaries	68,455	77,439
Rent and rates	61,700	33,394
Insurance	7,416	4,275
Light and heat	13,593	13,963
Repairs and maintenance	1,081	4,940
Printing, postage and stationery	959	922
Advertising	-	100
Telephone	7,302	6,793
Hire of equipment	1,109	694
Motor and travel	17,641	11,468
Legal and professional	1,849	2,675
Accountancy	5,158	12,790
Bank charges	3,178	2,959
Profit/loss on exchange	(7,955)	5,830
General expenses	3,329	2,656
Depreciation of tangible assets	9,762	6,607
Depreciation of intangible assets	98,310	99,907
	292,887	287,412
Finance		
Bank interest paid	13,237	3,327
Factoring interest	11,416	12,543
Other interest	41,320	50,665
	65,973	66,535
Miscellaneous income		
Government grants received	33,189	33,243
Net profit/(loss)	45,582	(18,829)